

Kishan Veer Gupta vs Nemi Chand on 7 February, 2026

IN THE COURT OF MR. HARGURVARINDER SINGH JAGGI,
ADDL. SESSIONS JUDGE (FTC- 01), SOUTH DISTRICT, SAKET
COURTS, NEW DELHI

CA No.: 317/2025
CNR No.: DLST01-013386-2025
u/Section: 38, NIA 1881
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378, 372, CrPC 1973

IN THE MATTER OF:

KISHAN VEER GUPTA ... Appellant
Through Mr. Nishant, Mr. Abhishek
Saxena, Mr. Kuldeep Singh,
Advocates for the Appellant.

v.

NEMI CHAND Respondent
...

Through Mr. Paramjeet Singh, Mr. Vikrama Jeet Singh, Advocates for the Respondent. Date of filing of appeal: 20.03.2021 Date of transfer order of appeal from Hon'ble D 29.07.2025 High of Delhi to South District, Delhi: Date of marking of appeal to this Court: 20.08.2025 Date of reserving judgment: 20.01.2026 Date of pronouncement of judgment: 07.02.2026 A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 11/29 J U D G M E N T 07.02.2026 1) Kishan Veer Gupta (Kishan) has preferred an appeal challenging the judgment dated 11.02.2020 (impugned judgment), wherein Nemi Chand (Nemi) stands acquitted by the Court of Metropolitan Magistrate (NIA Act) 04, South District, Saket Courts, Delhi (Trial Court) in a complaint case titled as Kishan Veer Gupta v. Nemi Chand - CT. Case No. 9441/2017 (complaint case). 2) Kishan preferred a complaint case against Nemi under Section 38 of the Negotiable Instruments Act, 1881 (NIA Act) alleging that Nemi sometime in the month of March 2014, approached him for a friendly loan of 2,50,000. Nemi assured Kishan that he will return the same within a period of six months. Kishan arranged the sum of 2,50,000 from his relative, Nanak Gupta and advanced the same as a friendly loan, in the presence of Nanak Gupta in the month of April 2014. 3) Kishan contacted Nemi after six months to repay the loan, however, Nemi avoided repaying the loan amount on one pretext or another.

It was only after great persuasion by Kishan that towards the repayment of the loan amount, Nemi issued a cheque No. 538818 dated 20.06.2017 drawn upon State Bank of India, Ambedkar Nagar branch, Sector-1, New Delhi-110017 for a sum of 2,50,000/- (4) Kishan acted upon the assurances and representations made by Nemi and presented the cheque for encashment with his banker, Indian A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 207/209 Bank, Saket branch, New Delhi-110017. The said cheque was dishonoured on presentation and returned back with remark, Funds Insufficient vide check returning memo dated 03.07.2017. (5) A legal notice dated 25.07.2017 was issued to Nemi through Kishan's counsel and thereby called upon him to pay back the sum of 2,50,000 in lieu of the dishonoured cheque. Regardless of the receipt of the notice, Nemi did not come forward to pay the due amount to Kishan. Thereafter, Kishan preferred the complaint case against Nemi under Section 138, NI Act before the Trial Court. (6) Before the trial court on 22.08.2017, Kishan tendered pre-summing evidence by way of affidavit. By order dated 22.08.2017, the Trial Court passed the summoning order and issued summons calling upon the appearance of Nemi for 08.11.2017. (7) On 08.11.2017, Nemi was admitted on bail by the Trial Court on furnishing of personal bond in the sum of 25,000 along with one surety of like amount. Further, on 08.11.2017 itself, the Trial Court framed notice under Section 251 of the Code of Criminal Procedure, 1973 (CPC, 1973) against Nemi for commission of an offence punishable under Section 138, NI Act. (8) On framing of the aforesaid notice, Nemi pleaded not guilty and claimed trial. Nemi in his defence stated that the cheque in question was given by him to Kishan as a security for a loan, which he sought to borrow. Nemi also stated that Kishan is his family relative, and he was in need of money for which Kishan informed him that he knows a person, who advances loan. However, he will take security cheques for the same. Thereafter, Nemi gave two blank signed cheques to Kishan of 2,50,000/- each. Nemi did not receive any loan in lieu of the cheques. He received the legal notice of demand, to which he sent his reply. Nemi also stated in his defence that he has no legal liability to pay the cheques amount to the complainant. (9) To prove his case, Kishan (CW1) along with Nanak G u p t a (CW2) stepped into the dock. On the other hand, Nemi (DW1) was the solitary defence witness. (10) The Trial Court by impugned judgment d i s m i s s e d K i s h a n ' s complaint against Nemi and absolved (read as acquitted) Nemi for the alleged offence of Section 138, NI Act, while deciding whether the

cheque in question given by Nemi was security or evidence of debt. (1) The Trial Court by impugned judgment found gaps in Kishan's proof, accepted Nemi's defence as plausible defence that the cheque was given as security and not for consideration, and concluded that the presumption under Section 39 was successfully rebutted, resulting in Nemi's acquittal. (2) Grounds of appeal (12) The Appellant, Kishan challenged the Trial Court's judgment of acquittal (dated 11.02.2020) before the Hon'ble High Court of Delhi by preferring a criminal leave petition under Section 378(1) read with Section 482, CrPC, 1973 titled as Kishan Veer Gupta v. Nemi Chand CRL.L.P. No. 46/2021 A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 4/2020 (3) The Hon'ble High Court of Delhi by order dated 29.07.2025 directed the Registry of the High Court, to transfer entire record of the case including the requisitioned copy of CR, to the Learned Principal District & Sessions Judge, South District, Saket Courts, Delhi for marking it to the concerned Appellate Court/Ld. ASJ, on 20.08.2025. The parties were directed to appear before the Ld. Principal District & Sessions Judge, South District, Saket, Delhi on 20.08.2025. It is in the above manner the appeal was marked to this Court. (14) Kishan has challenged the impugned judgment primarily on the grounds that the Trial Court failed to apply the mandatory statutory presumptions under the NI Act. The specific grounds of appeal urged by Kishan are as below: (a) Admission of signature and handwriting Kishan's core argument is that Nemi admitted during cross-examination that the signature, amount, and number on the cheque were in his own handwriting. Kishan has urged that once the signature is admitted, the Trial Court was legally bound to raise a presumption under Section 39 of the NI Act that the cheque was issued for the discharge of a debt. (b) Failure to apply the reverse onus principle: Kishan has cited in his appeal the law report of the Apex Court in the case of Kalamani Tex & Anr. vs. P. Balasubramanian 2021 INSC 679, urging that the reverse onus principle should have been applied. Since Nemi admitted his A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 5/2020 signatures, the burden of proof shifted to Nemi, to disprove the existence of a legally enforceable debt, which as per Kishan, Nemi failed to do. (c) Rejection of the security cheque defence Kishan has challenged the Trial Court's acceptance of Nemi's defence that the cheques were merely security cheques given to procure a loan and were subsequently misused. Kishan has contended that Nemi's claim was unsupported by evidence and that the Trial Court's findings were arbitrary and illegal. (d) Misapplication of judicial precedents The Appellant urged that the

Trial Court ignored or misapplied several key Hon'ble Supreme Court rulings, Bir Singh vs. Mukesh Kumar, 2019 NSC 149, which establishes that it is immaterial, who fills the details of the cheque if the signature is admitted. The Trial Court also ignored the law report of Uttam Ram vs. Devinder Singh Hudan, 2019 NSC 1160 regarding the status of the complainant as a holder in due course. The respondent had argued that the loan was actually from a third party (Nanak Chand), but the appellant maintained that as the holder of the signed cheque, the presumption remained in his favor. (e) Failure to prove rebuttal. The appellant argued that the respondent failed to lead any cogent evidence to rebut the statutory presumption. He claimed the Trial Court erred. A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 67/209 by favoring the accused despite the lack of evidence proving the respondent's version of events. (5) Thus, the broad conspectus of Kishan's appeal against the impugned judgment passed by the Trial Court can be summed up as legal error, failure to raise mandatory statutory presumptions under Sections 18 and 39 of the NI Act; factual error, error in accepting the unproven defense that the cheques were security cheques for a third-party loan; admission, Nemi's admission about his handwriting and signature on the cheque in question was not given due weight, and legal precedents. Trial Court neglected the settled law regarding reverse onus in cheque bounce cases. Submission by Counsel for parties (6) Mr. Nishant learned counsel for the appellant, Kishan opened his arguments by stating that the Trial Court while passing the impugned judgement took a hypothetical view. The learned counsel submitted that the Trial Court held that Kishan was a middleman and Nanak Gupta (CW2) did not file any recovery suit against Kishan towards recovery of money. (7) The learned counsel submitted that the facts of the case before the Trial Court were laid in a crystal clear manner. The learned counsel further submitted that Kishan runs a paan, cigarette vend near the area of Saket District Court. Kishan and Nemi are close relatives, Kishan is the brother-in-law of Nemi as he is married to the cousin sister of Nemi. Kishan provided a friendly loan of 2,50,000/- in cash to A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 77/209 Nemi, who assured Kishan that he would repay the loan within six months. The loan remained unpaid by Nemi to Kishan and it was only after great persuasion, on 20.06.2017 Nemi issued a cheque of 2,50,000/- towards discharge of his liability to Kishan. (8) On 03.07.2017, Kishan presented the cheque for encashment and the same was dishonoured. As per the cheque returning memo, the cheque was dishonoured due to insufficiency of funds. The learned counsel submitted that as a follow-up for unpaid loan and dishonoured

cheque, on 25.07.2017 a notice was issued to Nemi. Despite delivery of notice, Nemi did not make any payment to Kishan. On 19.08.2017, Kishan was constrained to prefer the complaint case against Nemi before the Trial Court under Section 138, NI Act. 19) The learned counsel submitted that on 08.11.2017 notice under Section 251, CrPC 1973, was framed by the Trial Court against Nemi, who pleaded not guilty and submitted to face trial. The learned counsel for Kishan submitted that to prove his case, Kishan examined two witnesses, Nanak Gupta (CW2) and himself (CW1), whereas Nemi himself stepped into the witness box as DW 1. (20) The learned counsel for Kishan submitted that before the Trial Court, Kishan testified that he took money from Nanak Gupta and advanced the same to Nemi. The learned counsel further submitted that Nanak Gupta (CW2) testified that he had advanced a loan to Kishan, who gave it to Nemi. The learned counsel further submitted that Nemi in his defence testified that he was unable to take loan, and A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 18 of 29 therefore approached two to three different persons for financial assistance. (21) The learned counsel further submitted that Nemi in his defence testified that he had approached Kishan, who informed him that he knows some people who will advance loans, but they will take security cheques. It was under that representation, belief, Nemi handed over two cheques, as security cheques to Kishan, who thereafter misused the same by filing a false complaint case. (22) The learned counsel for Kishan submitted that the Trial Court made an erroneous finding that Kishan was a middleman to advance the loan. The Trial Court also found that there existed no agreement with regard to loan between Kishan and Nemi. The learned counsel further submitted that in paragraph number 12 of the impugned judgement, the Trial Court observed that a sum of 2,50,000 was advanced in presence of Nanak Gupta and yet the Trial Court arrived at an erroneous finding that the cheque in question issued by Nemi to Kishan was not towards discharge of the legally enforceable debt. (23) The learned counsel for Kishan submitted that it is apparent and evident that the Trial Court proceeded on a hyper technical view. The learning counsel further submitted that the Trial Court failed to appreciate that Nemi, not only admitted his signature on the cheque, but also failed to consider that due to close family relation, Kishan had indeed advanced a friendly loan to Nemi. A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 9 of 29 (24) To buttress his arguments, the learned counsel for Kishan placed reliance upon the law reports of Kalamani Tex & Anr. Vs. P. Balasubramanian (2021) 1 NSC 679, Bir Singh Vs. Mukesh Kumar (2019) 1 NSC 149 and Uttam Ram Vs. Devinder Singh Hudan (

2019) NSC 1160 (25) The learned counsel submitted that the Trial Court failed to appreciate that no complaint was filed by Nemi about the cheques, particularly, when Kishan refused to return the same to him, on account of Kishan's failure to advance any loan to Nemi. The learned counsel further submitted that the Trial Court failed to appreciate that Nemi only had a moonshine defence and under no manner was able to discharge the reverse presumption. (26) On the other hand, Mr. Vikrama Jeet Singh, learned counsel for Nemi contended the submissions advanced by Mr. Nishant learned counsel for Kishan. The learned counsel submitted that Nemi never approached Kishan for any loan. The learned counsel further submitted that it was Kishan, who gained knowledge that Nemi was in need of money and is looking for financial assistance by way of loan. Thus, it was Kishan, who approached Nemi and informed him that he knows persons who can provide loans, however, they will take blank signed cheques as security checks. (27) The learned counsel further submitted that it was under those circumstances, Nemi handed over two blank signed cheques of 2,50,000/- each as security cheques along with a copy of Aadhaar card to Kishan. A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 10 of 29 (28) The learned counsel for Nemi further submitted that after one week of handing over the blank signed cheques, Nemi expressed his urgency to Kishan, who was unable to arrange for money. The learned counsel submitted that Kishan never disclosed the name of the lender, but he did mention that the loan provider had gone to his native village. Nemi, once again approached Kishan, and this time Kishan told him that he is unable to arrange for a loan. Nemi asked Kishan to return his cheques along with the copy of the Aadhaar card, which Kishan failed to return to him. (29) Mr. Singh learned counsel for Nemi submitted that it was proved before the Trial Court that the cheques issued by Nemi were signed blank cheques. To support his submission, the learned counsel read out the testimony of Kishan (CW1) and Nanak Gupta (CW2). The learned counsel further submitted that the impugned judgement passed by the Trial Court does not suffer from any illegality, as the Trial Court has rightly held that Kishan was unable to prove that the cheque in question was issued by Nemi towards the discharge of legally enforceable debt. Mr. Singh learned counsel for Nemi concluded his arguments on the note that the present appeal be dismissed, as the same is an abuse of process of law, witchhunt by Kishan to harass and cause immense mental trauma to Nemi. (30) Mr. Nishant learned counsel for Kishan rejoined his arguments and submitted that the impugned judgement passed by the Trial Court

deserves to be set aside as the same as not only contrary to law, but also to facts proved before the Trial Court. The learned Counsel A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 11/29 submitted that it be so ordered by this Court convicting Nemi Chand for commission of offence punishable under Section 38, NI Act, punishing him with imprisonment of two years, and/or coupled with fine which may extend to twice the amount of the cheque. Legal provision and legal principles

(31) The present appeal emanates from a complaint filed by Kishan against Nemi under Section 38 of the NI Act, wherein the Trial Court acquitted Nemi. Thus, it is imperative to set out the legal standard by referring to the appropriate legal provisions and legal principles. (32) The Apex Court in *Rohitbhai Jivanlal Patel v. State of Gujarat & Anr.* 2019 INSC 393 (RJ Patel's case) while holding a clear view with regard to the conviction of the accused-appellant for the offence under Section 38 NI Act, the impugned judgment and order dated 08.01.2018 does not call for any interference but, on the facts and in the circumstances of the case, modified the punishment as awarded by the High Court. The Apex court emphasized that, ordinarily, an appellate court will not upset a judgment of acquittal if the view taken by the trial court is one of the possible views of the matter. The appellate court may only interfere if it arrives at a clear finding that the judgment of the trial court is perverse, i.e., not supported by evidence on record, contrary to what is regarded as normal or reasonable, or wholly unsustainable in law. (33) The relevant extract of paragraph 11 of the RJ Patel's case is reproduced in verbatim as below: A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 12/29 ¶ 11. According to the learned counsel for the accused-appellant, the impugned judgment is contrary to the principles laid down by this Court in the case of *Arulvelu* (supra) because the High Court has set aside the judgment of the Trial Court without pointing out any perversity therein. The said case of *Arulvelu* (supra) related to offences under Sections 304-B and 498-A IPC. Therein, on the scope of the powers of Appellate Court in an appeal against acquittal, this Court observed as follows: "36. Carefully scrutiny of all these judgments lead to the definite conclusion that the appellate court should be very slow in setting aside a judgment of acquittal particularly in a case where two views are possible. The trial court judgment can not be set aside because the appellate court's view is more probable. The appellate court would not be justified in setting aside the trial court judgment unless it arrives at a clear finding on marshalling the entire evidence on record that the judgment of the trial court is either perverse or wholly unsustainable in law." 1.1 The principles aforesaid are not

of much debate. In other words, ordinarily, the Appellate Court will not be upsetting the judgment of acquittal, if the view taken by Trial Court is one of the possible views of matter and unless the Appellate Court arrives at a clear finding that the judgment of the Trial Court is perverse, i.e., not supported by evidence on record or contrary to what is regarded as normal or reasonable; or is wholly unsustainable in law. Such general restrictions are essentially to remind the Appellate Court that an accused is presumed to be innocent unless proved guilty beyond reasonable doubt and a judgment of acquittal further strengthens such presumption in favour of the accused. However, such restrictions need to be visualised in the context of the particular matter before the Appellate Court and the nature of inquiry therein. The same rule with same rigour cannot be applied in a matter relating to the offence under Section 38 of the NI Act, particularly where a presumption is drawn that the holder has received the cheque for the discharge, wholly or in part, of any debt or liability. Of course, the accused is entitled to bring on record the relevant material to rebut such presumption and to show that preponderance of probabilities are in favour of his defence but while examining if the accused has brought about a probable defence so as to rebut the presumption, the Appellate Court is certainly entitled to examine the evidence on record in order to find if preponderance indeed leans in favour of the accused." A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand (Page No. 13/2934) In summary, while appellate courts should be cautious in overturning acquittals, they are empowered to do so where the Trial Court's decision is perverse, unsustainable, or contrary to law, especially in cases involving statutory presumptions like those under the Negotiable Instruments Act, 1881. (35) The Parliament amended the NI Act by insertion of Chapter XVII, Of Penalties in case of Dishonour of Certain Cheques for Insufficient of Funds in the Accounts by the Act 66 of 1988 v.e.f. 01.04.1989. Section 138 of the NI Act reads as below: "138. Dishonour of cheque for insufficiency, etc., of funds in the account.--Where any cheque drawn by a person on an account maintained by him with a banker for payment of any amount of money to another person from out of that account for the discharge, in whole or in part, of any debt or other liability, is returned by the bank unpaid, either because of the amount of money standing to the credit of that account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with that bank, such person shall be deemed to have committed an offence and shall, without prejudice to any other provision of this Act, be punished with imprisonment for a term which may be extended to two

years'], or with fine which may extend to twice the amount of the cheque, or with both: Provided that nothing contained in this section shall apply unless-- (a) the cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity, whichever is earlier; (b) the payee or the holder in due course of the cheque, as the case may be, makes a demand for the payment of the said amount of money by giving a notice; in writing, to the drawer of the cheque, [within thirty days] of the receipt of information by him from the bank regarding the return of the cheque as unpaid; and (c) the drawer of such cheque fails to make the payment of the said amount of money to the payee or, as the case may be, to the holder. A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 14/209 in due course of the cheque, within fifteen days of the receipt of the said notice. Explanation.--For the purposes of this section, "debt or other liability" means a legally enforceable debt or other liability." (36) The NI Act enlists three essential conditions, which ought to be fulfilled before Section 138 can be invoked. Firstly, the cheque ought to have been presented within the period of its validity. Secondly, a demand for payment ought to have been made by the presenter of the cheque to the issuer, and lastly, the drawer ought to have failed to pay the amount within a period of 15 days of the receipt of the demand. (37) These principles and pre-requisites stand well established through judgment of the Apex Court in *Sadanandan Bhadran v. Madhavan Sunil Kumar* (1998) 6 SCC 514. There is an explicit limitation of 30 days, beginning from the period when the cause of action arose, prescribed by Section 42(b) of the NI Act, to initiate the proceedings under Section 138 of the NI Act. (38) His Lordship Dr. Dhananjay Y. Chandrachud, J., (As His Lordship then was) in *Gimpex Private Limited vs. Manoj Goel* (2021) 1 NSC 637, culled out the ingredients forming the basis of the offence under Section 138 of the NI Act in the following structure: (i) The drawing of a cheque by a person on the account maintained by him with the banker for the payment of any amount of money to another from that account; A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 15/209 (ii) The cheque being drawn for the discharge in whole or in part of any debt or other liability; (iii) Presentation of the cheque to the bank arranged to be paid from that account; (iv) The return of the cheque by the drawee bank as unpaid either because the amount of money standing to the credit of that account is insufficient to honour the cheque or that it exceeds the amount; (v) A notice by the payee or the holder in due course making a demand for the payment of the amount to the drawer of the cheque within 30 days of the receipt of information from the bank in

regard to the return of the cheque, and (vi) The drawer of the cheque failed to make payment of the amount of money to the payee or the holder in due course within 15 days of the receipt of the notice. (39) The Superior Courts have expounded that the issuance of the cheque towards a liability, the presentation of the cheque within the prescribed period, its return on account of dishonour, notice to the accused, and failure to pay within 5 days thereof, stand as sine qua non for an offence under Section 138 of the NI Act. (40) At this stage, a reference to Section 118 of the NI Act is a relevant as it lays down special rules for evidence to be adduced with the scheme of the NI Act. Section 118 is reproduced in verbatim as below: A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 16/29

118. Presumptions as to negotiable instruments. - Until the contrary is proved, the following presumptions shall be made: -- (a) of consideration: - that every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted, indorsed, negotiated or transferred, was accepted, indorsed, negotiated or transferred for consideration; (b) as to date: - that every negotiable instrument bearing a date as made or drawn on such date; (c) as to time of acceptance: - that every accepted bill of exchange was accepted within a reasonable time after its date and before its maturity; (d) as to time of transfer: - that every transfer of a negotiable instrument was made before its maturity; (e) as to order of indorsements: - that the indorsements appearing upon a negotiable instrument were made in the order in which they appear thereon; (f) as to stamp: - that a lost promissory note, bill of exchange or cheque was duly stamped; (g) that the holder is a holder in due course: - that the holder of a negotiable instrument is a holder in due course: provided that, where the instrument has been obtained from its lawful owner, or from any person in lawful custody thereof, by means of an offence or fraud, or has been obtained from the maker or acceptor thereof by means of an offence or fraud, or for unlawful consideration, the burden of proving that the holder is a holder in due course lies upon him." (41) The above-quoted legal provision of Section 118 shows cases, in which it raises a rebuttable presumption as against the drawer to the extent that the concerned negotiable instrument was drawn and subsequently accepted, indorsed, negotiated, or transferred for an existing consideration, and the date so designated on such an instrument is the date when the concerned negotiable instrument was drawn. It is also A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 17/29 further presumed that the same was transferred before its maturity and

that the order in which multiple endorsements appear on such an instrument, that is the deemed order thereon. Lastly, the holder of a negotiable instrument is one in its due course, subject to a situation where the concerned instrument while being obtained from a holder of a bill of exchange or promissory note or other negotiable instrument from his or her lawful custody thereof through undertaking of an offence as contemplated under any statute or through the means of fraud, the burden to prove him or her being a holder in due course, instead, lies upon such a holder. See *Sri Dattatraya v. Sharanappa* (2024 INSC 586). (42) Another relevant provision of the NI Act is Section 139, which reads as below: "139. Presumption in favour of holder. - It shall be presumed, unless the contrary is proved, that the holder of a cheque received the cheque of the nature referred to in section 138 for the discharge, in whole or in part, of any debt or other liability." (43) Section 139, NI Act, mandates the presumption, which involves an obligation on the Court conducting the trial for an offence under Section 138 of the NI Act, to presume that the cheque in question was issued by the drawer or accused for the discharge of a particular liability. The use of expression "shall presume" sets out the right of the accused to present evidence for the purpose of rebutting the said presumption. The presumption under Section 139 of the NI Act is a rebuttable one. See *Rangappa v. Sri Mohan* (2010 INSC 500) (*Rangappa's case*). The effect of the presumption under Section 139 NI Act is that on filing of the complaint along with supporting A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 8 of 29 documents, thereby prima facie establishing the case against the drawer (accused), the onus of proof shifts on the drawer or accused to adduce cogent material and evidence for rebutting the said presumption based on preponderance of probabilities. See *Laxmi Dyechem v. State of Gujarat and Others* - 2012 INSC 546. (44) At this juncture, it is relevant to expound upon the landmark judgment of the Apex Court in the *Rangappa's case*. The three Judges Bench of Hon'ble Supreme Court examined the liability under Sections 138 and 139 of the NI Act, in a cheque-dishonour case involving stop-payment instructions on a post-dated cheque. The Court clarified that Section 138 applies even when payment is countermanded and that Section 139 raises a rebuttable presumption of a legally enforceable debt once the drawer's signature is admitted. The Apex Court emphasized that the accused must raise a probable defence on the preponderance of probabilities to rebut the statutory presumption, not an unduly high standard of proof. Applying these principles, the Court upheld the High Court's conviction because the accused failed to present a credible, timely defence and did not contest

the existence of the debt convincingly. (45) Hon'ble Supreme Court in the case of Basalingappa v. Mudibasappa (2019) 500 (Basalingappa's case) while dealing with a criminal appeal concerning a hand loan of 6,00,000/- culled out legal principles after reviewing the evidentiary presumptions under Sections 18(a) and 39 of the Act, assessing whether the accused rebutted the presumption that the cheque discharged a debt and A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 19/29 whether the complainant proved lending capacity. The Apex Court held that the defence evidence raised a probable doubt about the complainant's financial capacity and contradictions in his testimony. (46) The legal principles culled out in Basalingappa's case are reproduced for ready reference as below: "23. We having noticed the ratio laid down by this Court in above cases on Sections 18(a) and 39, we now summarise the principles enumerated by this Court in following manner:- (i) Once the execution of cheque is admitted Section 39 of the Act mandates a presumption that the cheque was for the discharge of any debt or other liability. (ii) The presumption under Section 39 is a rebuttable presumption and the onus is on the accused to raise the probable defence. The standard of proof for rebutting the presumption is that of preponderance of probabilities. (iii) To rebut the presumption, it is open for the accused to rely on evidence led by him or accused can also rely on the materials submitted by the complainant in order to raise a probable defence. Inference of preponderance of probabilities can be drawn not only from the materials brought on record by the parties but also by reference to the circumstances upon which they rely. (iv) That it is not necessary for the accused to come in the witness box in support of his defence, Section 39 imposed an evidentiary burden and not a persuasive burden. (v) It is not necessary for the accused to come in the witness box to support his defence." (47) A neat question arose before the Hon'ble Supreme Court in the case of Rajesh Jain v. Ajay Singh (2023) 888 (Rajesh Jain's case) that since the execution of the cheque is admittedly, not under dispute, whether the accused can be said to have discharged his A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 20/29 evidential burden, for the Courts below to have concluded that the presumption of law supplied by Section 39, NI Act had been rebutted. (48) His Lordship Aravind Kumar, J., in Rajesh Jain's case analysed the proper application of the statutory presumption under Section 39, NI Act, how it shifts the evidential burden onto the accused once the cheque's execution is established. The Apex Court found errors in Trial Court and High Court's reasoning and held that the accused failed to rebut the presumption on preponderance of probabilities and

allowed the appeal, convicted the accused and sentenced him to a fine and alternative imprisonment. 49) In Rajesh Jain's case, the Supreme Court clarified and reinforced several key legal principles regarding prosecutions under Section 138 of the NI Act, particularly concerning the operation of statutory presumptions and the burden of proof: Presumption Under Section 139 and Shifting Burden: (i) Once execution/signature on the cheque is admitted, the presumption under Section 139 NI Act is automatically activated. This presumption is that the cheque was issued in discharge of a debt or liability. (ii) The evidential burden then shifts to the accused. The accused must rebut the presumption, either by leading defence evidence or by establishing, on a preponderance of probabilities, that no debt or liability existed at the time of cheque issuance. A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 21/29 Nature and Standard of Rebuttal: The accused can rebut the presumption by leading direct evidence to prove non-existence of debt, liability or relying on circumstances and probabilities arising from the case record, including the complainant's own evidence. The standard of proof for the accused is not "beyond reasonable doubt" but the lesser standard of "preponderance of probabilities" like a civil case. Role of the Court in Evaluating Evidence: Once the presumption is activated, the Court's focus must shift to the accused's case and whether the accused has discharged the evidential burden. If the accused fails to discharge this burden, the presumption stands, and the complainant is not required to do anything further. If the accused does discharge the burden, the complainant must independently prove the existence of debt/liability, without the aid of the presumption. The proper approach is to first determine if the accused has rebutted the presumption; only then, if rebutted, does the onus shift back to the complainant. Consistency and Credibility in Defence: The Court emphasized that the defence set up by the accused must be credible and consistent. Contradictory or implausible defences, unsupported by evidence or reasonable explanation, will not suffice to rebut the presumption. General Principles on Presumptions and Burden of Proof: The Court reiterated the distinction between legal burden (remains on complainant) and evidential burden (can shift during trial). A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 22/29 Section 139 is a "shall presume" provision, meaning the court is compelled to raise the presumption once basic facts are established. 50) His Lordship Amit Mahajan, J., of Hon'ble High Court of Delhi in a latest judgment in the case of Manoj Kumar Panchal v. Mahender Kumar Panchal 2025 DHC 4537 dismissed a leave-to-appeal against an acquittal under Section 138 of the NI Act, concerning a disputed cheque for 1,68,000 and conflicting claims about an alleged loan

between relatives engaged in an aluminium fabrication business. The Trial Court acquitted the respondent after finding the complaint lacked material particulars and the complainant's statements inconsistent. (51) On appeal, the High Court analysed statutory presumptions under Sections 118 and 139, examined handwriting and FSL evidence, and applied Supreme Court precedent on rebutting presumptions. See Rajesh Jain's case. Finding no perversity in the Trial Court's evaluation and that the respondent successfully raised a probable defence, the High Court dismissed the petition. Analysis (52) Now coming to the case at hand with the above-said legal standards as anchor point, to ascertain whether the impugned judgment is marred by perversity and ought to be interfered with. (53) Kishan is aggrieved by the impugned judgment passed by the Trial Court. The holding of the Trial Court acquitting Nemi Chand is A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 23 of 29 based on the findings that the cheque was a security cheque and not issued towards discharge of legally enforceable debt or liability. (54) On careful consideration of the impugned judgment, memorandum of appeal, trial court record (TCR) and the arguments advanced by the learned counsel for the parties, the crux of the impugned judgment passed by the Trial Court shall ensue in the following paragraphs of this judgment. (55) The Trial Court found that Nemi had issued the cheque as security and not against any legally enforceable debt or liability. Nemi's version that the cheque was given as security for a prospective loan, which was never actually advanced, was accepted as a probable defence by the Trial Court. (56) The Trial Court arrived at a finding that though Nemi admitted his signature on the cheque in question, he successfully rebutted the statutory presumption under Section 139, NI Act evidence and cross-examination. (57) The Trial Court found that Kishan failed to provide positive evidence that a legally enforceable debt existed or that the cheque was issued by Nemi in his favour to discharge such a debt. The Trial Court noted inconsistencies and lack of documentation regarding the alleged loan transaction. (58) The Trial Court vide impugned judgment also observed that Kishan was not the 'holder in due course' as defined under Section 9 A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 24 of 29 of the NI Act, since the actual consideration for the cheque originated from a third party, Nanak Gupta (CW-2) and not the complainant. (59) The Trial Court held that Nemi had successfully rebutted the presumption of liability under Section 139 NI Act, and since Kishan failed to prove the existence of a legally enforceable debt, the accused was acquitted of the offence under Section 138 NI Act. (60) The position in law is

well settled that there exists a statutory presumption under Sections 118 and 139 of the NI Act. The default setting is that once you admit the signature on the cheque as yours, the Court automatically presumes that there exists a legally enforceable debt. However, the law also provides that the accused can rebut the presumption by raising a probable defence on a preponderance of probabilities to show that there existed no debt in the manner so pleaded and urged by the complainant in his complaint, demand notice or evidence. Once the accused has successfully raised a probable defence to the satisfaction of the Court, his burden is discharged and the default setting i.e., presumption vanishes and the burden now shifts on the complainant, to prove the existence of a legally enforceable debt as a matter of fact. (61)

In all fairness, the impugned judgment passed by the Trial Court acquitting Nemi is well reasoned and squarely within the realm of applicable law, legal principle and settled legal precedents. A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 25 of 29 (62) Mr. Nishant learned counsel for the appellant cited the Apex Court's law report of Kalamani Tex & Anr. Vs. P. Balasubramanian 2021 INSC 679 (Kalamani Tex's case) (63) The Apex Court in Kalamani Tex's case examined conviction under Section 138, NI Act arising from a dishonoured cheque for 11.20 lakhs, addressing factual findings and legal presumptions a b o u t signatures, deed of undertaking, and business relations between parties. The Apex Court affirmed that statutory presumptions under Sections 118 and 139 shift the burden to accused to rebut by preponderance of probability, n o t m e r e d e n i a l . (64)

The Apex Court upheld the High Court of Judicature at Madras' reversal of acquittal, rejected the appellants' defence, ordered transfer of the deposited amount to the respondent, and, while dismissing the appeal, grants leniency by sparing imprisonment since the cheque amount was deposited with the Registry. (65) There is no qualm about the understanding of the reverse onus becoming operative as the same has been discussed and reiterated at length in the preceding paragraphs of this judgment. This Court finds that in the appeal at hand, the accused, Nemi admitted his signature on the cheque but he successfully rebutted the preponderance of probability about the cheque in question not being issued against discharge of legally enforceable debt. (66)

Now coming to the second law report relied by the appellant, Bir Singh v. Mukesh Kumar - 2019 INSC 49 (Bir Singh's case) In A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 26 of 29 Bir Singh's case the Apex Court addressed a criminal appeal under Section 138 of the Negotiable Instruments Act concerning dishonour of a cheque for 15,00,000/- and reviewed the

legal questions about presumption under Section 139, NI Act. The Court affirmed that Section 139 creates a rebuttable presumption favouring the cheque holder and that revisional courts should not upset concurrent factual findings absent perversity. It reversed the High Court's acquittal, restored conviction, enhanced compensation to ₹ 16,00,000/- payable within eight weeks, and explained that fiduciary relationship or a signed blank cheque does not, without cogent evidence, negate the presumption of liability. This Court is in complete concurrence with the position in law culled out in Bir Singh's case that Section 139 provides reverse presumption. In the present appeal, the Trial Court proceeded only when the accused rebutted the presumption, and thereafter, Trial Court arrived at a finding that the complainant failed to lead any cogent evidence about him advancing the loan and also about filling the details in the signed blank cheque as late as in the year 2017, when as per Kishan, the loan was advanced in the year 2014 and the cheque was dated 20.06.2017. (67) The Hon'ble Supreme Court of India in Uttam Ram vs. Devinder Singh Hudan (2019) 160 NSC 160 dealt with a Section 138 Negotiable Instruments Act complaint where a cheque for ₹ 5,38,856 issued for packing-material credit was dishonoured. The Apex Court emphasized on the statutory presumptions under Sections 138 and 139, held that once issuance and dishonour are proved, the onus shifts to the drawer to rebut that the cheque discharged a debt. The Court found that the accused failed to adduce credible evidence (lost-chequebook entry and bare denial) to rebut the presumption, sets aside acquittal and not only convicted under Section 138 NI Act, but also imposed a fine plus costs, with conditional imprisonment. (68) In the case at hand, this Court is in complete concurrence with the findings of the Trial Court as cited in the impugned judgment that the accused, Nemi, rebutted the statutory presumption by leading evidence and also during cross-examination of the Kishan and Nanak Gupta (complainant) witnesses. (69) As discussed above, none of the law reports, cited by the learned counsel for Kishan comes to his aid, as the same are either distinguishable on facts, legal and/or contextual differences. (70) Hon'ble High Court in Manoj Kumar Panchal vs. Mahender Kumar Panchal (2025) 4537 DHC held that a decision of acquittal fortifies the presumption of innocence of the accused, and the said decision must not be upset until the appreciation of evidence is perverse. The case at hand of acquittal under challenge, is no different. Conclusion (71) In view of the aforesaid legal principles, foregoing reasons and observations, this Court holds that there is neither any perversity in the impugned judgment passed by the Trial Court nor any merit in the

appeal preferred by Kishan Veer Gupta in challenging the impugned judgment dated 11.02.2020 passed by the Trial Court in Kishan Veer A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 28/29 Gupta v. Nemi Chand CT. Case No. 9441/2017 This Court finds and Rules that the Trial Court rightly acquitted Nemi Chand for the alleged offence under Section 38 of the NI Act. Accordingly, the instant appeal is dismissed and the impugned judgment dated 11.02.2020 passed by the Trial Court is upheld and affirmed. (72) All pending applications, if any, also stand disposed of. (73) Let a copy of this judgment along with the TCR be transmitted to the Trial Court as per Rules. File be consigned to the Record Room on compliance of directions and as per applicable rules. Hargurvarinder Singh jaggi Singh jaggi Date:

2026.02.07 16:32:38 +0530 Pronounced in the open Court P (Hargurvarinder Singh Jaggi) on February 07, 2026 Addl. Sessions Judge (FTC-01) South District Saket Courts, New Delhi hk ote This judgment comprises of 29 pages in total. The Electronic Signature Certificate N (digital signature) of the Presiding Officer has been appended on the last page of the electronic or digital copy (PDF) of this document. A No. 317/2025 C Kishan Veer Gupta v. Nemi Chand Page No. 29/29